

SOUTH KOREA TELECOM SERVICES

2Q26E earnings preview; Mixed earnings as AIDC optionality moves into focus

We expect mixed 2Q26E earnings across the Korean telcos, with KT's reported results impacted by a high property-development base, LGU delivering a relatively clean sequential recovery, and SKT posting a sharp YoY OP rebound, largely on the absence of data-breach-related costs. Underlying wireless trends should remain subdued across the sector: subscriber momentum has stabilized following the recent penalty-waiver periods, but the lingering impact of earlier subscriber losses, temporary plan downgrades and subscriber-acquisition cost amortization should limit meaningful earnings expansion. Meanwhile, enterprise and data-center operations should remain the principal incremental growth drivers, supported by KT Cloud's double-digit growth, LGU's c.30% AIDC growth and higher Pangyo DC utilization at SK Broadband. Beyond the quarter, we see infrastructure-led growth optionality becoming an increasingly important differentiator. We believe KT offers most favorable risk-reward, supported by its demand-backed and relatively capital-light plan to expand AIDC capacity to 1GW by 2031, subsea-cable expansion and continued shareholder returns. For LGU, improving earnings quality and its plan to expand AIDC capacity to 400MW by 2030 are balanced by valuation. For SKT, existing SK Broadband data-center operations provide tangible earnings support, but we believe the consortium-led 5GW-to-15GW roadmap remains too early to capitalize without greater visibility on customers, funding requirements and prospective returns. We raise our 12-month TPs for KT to W74k (previously W72k) and LGU to W17k (previously W16k), while maintaining our W58k TP for SKT. We remain Buy-rated on KT, Neutral-rated on LGU and Sell-rated on SKT.

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- **KT (W74,000, Buy):** In 2Q, we expect KT to report consolidated revenue of W6.8trn (-8% YoY and +1% QoQ) and OP of W558bn (-45% YoY and +16 QoQ), down YoY due to the high base of c.W380bn Gwangjin-gu property-development gain recognized in 2Q25. While the wireless subscribers returned to net additions following the penalty-waiver period, we think wireless service revenue should remain under pressure from subscriber losses at the beginning of the year, as well as the temporary plan downgrades associated with the free 100GB customer-appreciation package. On costs, marketing expenses should remain elevated YoY due to amortization of subscriber-acquisition costs incurred last year, although easing competition and better cost control should support a QoQ improvement. Among subsidiaries, KT Cloud revenue should grow at a double-digit rate on DBO, co-location and private-cloud demand, while KT

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Estate should benefit from hotel operations and property-development contributions. However, KT Cloud margins may remain temporarily compressed due to still-low utilization rate of Gasan AIDC (despite capacity being fully contracted), while lease and depreciation expenses are already being recognized. In our view, the conclusion of the customer-appreciation package in July will support a more visible wireless and earnings recovery from 3Q. Beyond the quarter, the company's plan to expand AIDC capacity to 1GW by 2031 and subsea-cable capacity from 31Tbps to 90Tbps provides credible infrastructure-led growth optionality, supported by presales and a capital-light model. We maintain Buy, underpinned by the ongoing W250bn share buyback, shareholder-return visibility and improving medium-term infrastructure growth. We remain Buy-rated with a SOTP-based 12m TP of 74,000 (previously W72,000), with 40% implied upside. For legacy businesses mainly consisting of telecom services, we apply a 11x P/E on NTM EPS, and roll forward our valuation to 3Q26-2Q27 (previously 2Q26-1Q27). For KT Cloud, we apply a 9.1x EV/EBITDA (domestic data center peer comp) and a 50% holdco discount. For other key subsidiaries/affiliates, we also apply a 50% holdco discount.

- **LGU (W17,000, Neutral):** In 2Q, we expect LGU to report consolidated revenue of W3.9trn (+1% YoY and +2% QoQ) and OP W316bn (+4% YoY and +16% QoQ), generally in-line with Street. In 2Q, service revenue growth should remain at low-single digits (+2.4% YoY), with mobile growth moderating on a tougher base following subscriber inflows from SKT beginning in 2Q25. Enterprise should see accelerating growth on strong AIDC growth (c.30%+), supported by higher existing-center utilization and DBO contribution. On costs, marketing-expense growth should moderate to high-single digits YoY (+9.8% YoY) from +11.7% in 1Q, reflecting easing number-portability competition and improving handset margins, while restructuring-led labor-cost savings provide an additional offset. Beyond the quarter, we look forward to upcoming shareholder-return announcement, as well as the company's plan to expand AIDC capacity from 165MW currently to 400MW by 2030. We maintain our Neutral rating with a P/E-based 12m TP of W17,000 (previously W16,000) with a 15% implied upside, balancing improving earnings quality and AIDC optionality against valuation. We apply an unchanged P/E multiple of 9x to NTM EPS, and roll forward our valuation to 3Q26-2Q27 (previously 2Q26-1Q27).
- **SKT (W58,000, Sell):** We expect SKT's consolidated revenue at W4.4trn (+1% YoY and flat QoQ) and OP at W545bn (+61% YoY and +1% QoQ), in-line with BBG consensus. The sharp YoY recovery largely reflects the absence of c.W200-250bn in USIM replacement and dealer-compensation costs booked following the data breach in 2Q25. Meanwhile, underlying wireless trends appear steady with continued subscriber recovery following KT's termination-fee waiver in Jan. On costs, we expect marketing expenses to stay relatively modest, rising only low-single digits YoY (+2% YoY). In our view, SKB should remain the cleaner incremental earnings driver, with a revenue up +3% YoY, supported by higher Pangyo DC utilization, contract-price renewals and continued broadband subscriber growth. We expect quarterly DPS of W830 and retain our FY26 DPS forecast of W3,540. In our view, the 2Q earnings rebound is predominantly a normalization from an

exceptionally weak base, while underlying telecom revenue growth remains limited. Existing SK Broadband data-center operations provide tangible earnings support, but the consortium-led 5GW-to-15GW AIDC roadmap remains too early to capitalize without greater visibility on customers, SKT's ownership and funding commitment, capex intensity and prospective returns. Hence, we maintain Sell with an unchanged P/E-based 12m TP of W58,000 and 42% implied downside. We apply an unchanged target P/E multiple of 9x to our NTM EPS, and roll forward our valuation to 3Q26-2Q27 (previously 2Q26-1Q27).

Exhibit 1: KT 2Q26E earnings preview summary

(W bn)	2Q25	1Q26	GS est		% yoy	% qoq	BBG	
			2Q26E				2Q26E	% Diff
Total revenue	7,427	6,778	6,833	-8%	1%		6,828	0%
OPEX	6,413	6,296	6,275	-2%	0%		6,253	0%
Operating profit	1,015	483	558	-45%	16%		575	-3%
OP margin (%)	13.7%	7.1%	8.2%	-5.5%p	1.1%p		8.4%	-0.2%p
Net profit	733	388	391	-47%	1%		412	-5%
NP margin (%)	9.9%	5.7%	5.7%	-4.2%p	0.0%p		6.0%	-0.3%p

Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 2: LGU 2Q26E earnings preview summary

(W bn)	2Q25	1Q26	GS est		% yoy	% qoq	BBG	
			2Q26E				2Q26E	% Diff
Revenue	3,844	3,804	3,880	1%	2%		3,900	-1%
OPEX	3,540	3,531	3,564	1%	1%		3,590	-1%
OP	305	272	316	4%	16%		310	2%
OP margin (%)	7.9%	7.2%	8.1%	0.2%p	1.0%p		7.9%	0.2%p
NP	217	176	214	-2%	21%		209	2%
NP margin (%)	5.6%	4.6%	5.5%	-0.1%p	0.9%p		5.4%	0.1%p

Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 3: SKT 2Q26E earnings preview summary

(W bn)	2Q25	1Q26	GS est		% yoy	% qoq	BBG	
			2Q26E				2Q26E	% Diff
Revenue	4,339	4,392	4,399	1%	0%		4,399	0%
OPEX	4,001	3,855	3,854	-4%	0%		3,856	0%
OP	338	538	545	61%	1%		543	0%
OP margin (%)	7.8%	12.2%	12.4%	4.6%p	0.2%p		12.3%	0.0%p
NP	83	316	371	346%	17%		375	-1%
NP margin (%)	1.9%	7.2%	8.4%	6.5%p	1.2%p		8.5%	-0.1%p

Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 4: KT earnings revision summary

(W bn)	2026E				2027E				2028E			
	Old	New	Chg	% Chg	Old	New	Chg	% Chg	Old	New	Chg	% Chg
Revenue	27,876	27,646	-230	-0.8%	28,282	28,023	-260	-0.9%	28,562	28,335	-227	-0.8%
% yoy	-1%	-2%		-0.8%p	1%	1%		-0.1%p	1%	1%		0.1%p
KT	19,536	19,425	-111	-1%	19,786	19,668	-119	-1%	19,997	19,907	-90	0%
% yoy	1.1%	0.5%		-0.6%p	1.3%	1.2%		0.0%p	1.1%	1.2%		0.2%p
% of revenue	70%	70%		0.2%p	70%	70%		0.2%p	70%	70%		0.2%p
Subsidiaries	14,298	14,178	-120	-1%	14,592	14,451	-141	-1%	14,803	14,666	-137	-1%
% yoy	-6%	-7%		-0.8%p	2%	2%		-0.1%p	1%	1%		0.0%p
% of revenue	51%	51%		0.0%p	52%	52%		0.0%p	52%	52%		-0.1%p
Adjustments	-5,958	-5,958	0	na	-6,096	-6,096	0	na	-6,238	-6,238	0	na
% yoy	na	na		na	na	na		na	na	na		na
OPEX	25,717	25,582	-135	-0.5%	25,996	25,856	-140	-0.5%	26,344	26,212	-132	-0.5%
% yoy	0%	-1%		-0.5%p	1%	1%		0.0%p	1%	1%		0.0%p
Operating profit	2,159	2,063	-95	-4.4%	2,287	2,167	-120	-5.2%	2,218	2,123	-95	-4.3%
% yoy	-13%	-16%		-3.9%p	6%	5%		-0.9%p	-3%	-2%		1.0%p
OP margin (%)	7.7%	7.5%		-0.3%p	8.1%	7.7%		-0.4%p	7.8%	7.5%		-0.3%p
EBITDA	6,012	5,917	-95	-1.6%	6,130	6,011	-120	-2.0%	6,053	5,957	-95	-1.6%
% yoy	-5%	-7%		-1.5%p	2%	2%		-0.4%p	-1%	-1%		0.4%p
EBITDA margin (%)	21.6%	21.4%		-0.2%p	21.7%	21.4%		-0.2%p	21.2%	21.0%		-0.2%p
Net profit	1,348	1,315	-32	-2.4%	1,439	1,425	-14	-1.0%	1,390	1,393	3	0.2%
% yoy	-21%	-23%		-1.9%p	7%	8%		1.6%p	-3%	-2%		1.2%p
NP margin (%)	4.8%	4.8%		-0.1%p	5.1%	5.1%		0.0%p	4.9%	4.9%		0.1%p

Source: Goldman Sachs Global Investment Research

Exhibit 5: LGU earnings revision summary

(W bn)	2026E				2027E				2028E			
	Old	New	Chg	% Chg	Old	New	Chg	% Chg	Old	New	Chg	% Chg
Revenue	15,690	15,698	8	0.1%	15,877	15,886	9	0.1%	15,971	15,981	10	0.1%
% yoy	2%	2%		0.1%p	1%	1%		0.0%p	1%	1%		0.0%p
Service revenue	12,494	12,503	8	0.1%	12,611	12,621	9	0.1%	12,675	12,685	10	0.1%
% yoy	2%	2%		0.1%p	1%	1%		0.0%p	0%	1%		0.0%p
% of revenue	80%	80%		0.0%p	79%	79%		0.0%p	79%	79%		0.0%p
Wireless revenue	6,722	6,722	0	0%	6,723	6,723	0	0%	6,662	6,662	0	0%
% yoy	1%	1%		0.0%p	0%	0%		0.0%p	-1%	-1%		0.0%p
Fixed-line revenue	4,907	4,915	8	0.2%	5,022	5,031	9	0.2%	5,146	5,156	10	0.2%
% yoy	4%	4%		0.2%p	2%	2%		0.0%p	2%	2%		0.0%p
Others (including LGHV)	866	866	0	0%	866	866	0	0%	866	866	0	0%
% yoy	-4%	-4%		0.0%p	0%	0%		0.0%p	0%	0%		0.0%p
Handset revenue	3,195	3,195	0	0.0%	3,266	3,266	0	0.0%	3,296	3,296	0	0.0%
% yoy	0%	0%		0.0%p	2%	2%		0.0%p	1%	1%		0.0%p
% of revenue	20%	20%		0.0%p	21%	21%		0.0%p	21%	21%		0.0%p
OPEX	14,587	14,590	2	0.0%	14,647	14,650	3	0.0%	14,743	14,746	3	0.0%
% yoy	0%	0%		0.0%p	0%	0%		0.0%p	1%	1%		0.0%p
Operating profit	1,103	1,109	6	0.5%	1,230	1,236	7	0.5%	1,228	1,235	7	0.6%
% yoy	24%	24%		0.7%p	12%	12%		0.0%p	0%	0%		0.0%p
OP margin (%)	7.0%	7.1%		0.0%p	7.7%	7.8%		0.0%p	7.7%	7.7%		0.0%p
EBITDA	3,906	3,912	6	0.2%	3,944	3,950	7	0.2%	3,942	3,949	7	0.2%
% yoy	9%	9%		0.2%p	1%	1%		0.0%p	0%	0%		0.0%p
EBITDA margin (%)	24.9%	24.9%		0.0%p	24.8%	24.9%		0.0%p	24.7%	24.7%		0.0%p
NP	719	728	9	1.3%	823	828	5	0.6%	822	828	5	0.7%
% yoy	41%	43%		1.8%p	15%	14%		-0.8%p	0%	0%		0.1%p
NP margin (%)	4.6%	4.6%		0.1%p	5.2%	5.2%		0.0%p	5.1%	5.2%		0.0%p

Source: Goldman Sachs Global Investment Research

Exhibit 6: SKT earnings revision summary

(W bn)	2026E				2027E				2028E			
	Old	New	Chg	% Chg	Old	New	Chg	% Chg	Old	New	Chg	% Chg
Revenue	17,705	17,705	0	0.0%	18,001	18,009	8	0.0%	18,188	18,195	8	0.0%
% yoy	4%	4%		0.0%p	2%	2%		0.0%p	1%	1%		0.0%p
MNO (wireless)	12,513	12,513	0	0.0%	12,656	12,664	8	0.1%	12,698	12,706	8	0.1%
% yoy	4%	4%		0.0%p	1%	1%		0.1%p	0%	0%		0.0%p
SK Broadband	4,657	4,657	0	0.0%	4,794	4,794	0	0.0%	4,921	4,921	0	0.0%
% yoy	3%	3%		0.0%p	3%	3%		0.0%p	3%	3%		0.0%p
Others	535	535	0	0.0%	551	551	0	0.0%	568	568	0	0.0%
% yoy	4%	4%		0.0%p	3%	3%		0.0%p	3%	3%		0.0%p
OPEX	15,736	15,756	20	0.1%	15,904	15,927	23	0.1%	16,088	16,111	23	0.1%
% yoy	-2%	-2%		0.1%p	1%	1%		0.0%p	1%	1%		0.0%p
Operating profit	1,969	1,949	-20	-1.0%	2,097	2,082	-15	-0.7%	2,100	2,084	-15	-0.7%
% yoy	83%	82%		-1.9%p	7%	7%		0.3%p	0%	0%		0.0%p
OP margin (%)	11.1%	11.0%		-0.1%p	11.7%	11.6%		-0.1%p	11.5%	11.5%		-0.1%p
EBITDA	5,465	5,465	0	0.0%	5,593	5,597	4	0.1%	5,596	5,600	4	0.1%
% yoy	17%	17%		0.0%p	2%	2%		0.1%p	0%	0%		0.0%p
EBITDA margin (%)	30.9%	30.9%		0.0%p	31.1%	31.1%		0.0%p	30.8%	30.8%		0.0%p
Net profit	1,355	1,324	-30	-2.2%	1,452	1,425	-27	-1.8%	1,454	1,427	-27	-1.8%
% yoy	232%	224%		-7.4%p	7%	8%		0.4%p	0%	0%		0.0%p
NP margin (%)	7.7%	7.5%		-0.2%p	8.1%	7.9%		-0.2%p	8.0%	7.8%		-0.2%p

Source: Goldman Sachs Global Investment Research

Exhibit 7: KT SOTP valuation summary

SOTP based TP

	New	Old (implied)	Chg
KT (standalone) equity value (W bn)	15,809	15,193	4.1%
NTM standalone net profit (W bn)	1,437	1,381	4.1%
Target P/E (x)	11.0x	11x	0.0%
KT Cloud (50% holdco discount)	1,128	1,195	-5.6%
Cloud/IDC revenue	1,239	1,313	-5.6%
KT Cloud EBITDA	248	263	-5.6%
EBITDA margin (%)	20%	20%	0.0%
EV/EBITDA (x)	9.1x	9.1	0.0%
Key subsidiaries & affiliates (50% discount)	636	636	0.0%
Total equity value	17,573	17,025	3.2%
Number of shares outstanding (mn)	236.4	236.9	0%
KT - Target Price (W)	74,000	72,000	2.8%
Current share price (W)	52,700		
Up/downside (%)	40%		

price as of Jul. 23, 2026

Source: Goldman Sachs Global Investment Research, Bloomberg

Exhibit 8: LGU P/E valuation summary

P/E valuation

	New	Old	Chg
(KRW)			
NTM EPS	1,878	1,789	5.0%
Target P/E (x)	9.0x	9.0x	0.0%
LGU - Target Price (KRW)	17,000	16,000	6.3%
# of shares (mn)	410.8	411.1	-0.1%
Current share price (W)	14,790		
Up/downside (%)	15%		

price as of Jul. 23, 2026

Source: Goldman Sachs Global Investment Research, Bloomberg

Exhibit 9: SKT P/E valuation summary

P/E valuation

	New	Old (implied)	Chg
(KRW)			
NTM EPS	6,455	6,474	0%
Target P/E (x)	9.0x	9.0x	0.0%
SKT - Target price (W)	58,000	58,000	0%
Number of shares outstanding (mn)	213.0	213.0	0.0%
Current share price (W)	99,500		
Up/downside (%)	-42%		

price as of Jul. 23, 2026

Source: Goldman Sachs Global Investment Research, Bloomberg

Price Target Risks and Methodology - KT Corp.**Valuation methodology:** We are Buy rated on KT. Our SOTP-based 12m TP is W74,000.

For legacy businesses mainly consisting of telecom services, we apply a 11x P/E on NTM EPS. For KT Cloud, we apply a 9.1x EV/EBITDA (domestic data center peer comp) and a 50% holdco discount. For other key subsidiaries/affiliates, we also apply a 50% holdco discount.

Key downside risks: Unexpected deceleration in earnings, slower-than-expected execution of non-core asset optimization, or change in management strategy that could lead to weaker-than-expected shareholder returns; Government pressure to provide lower 5G tariff schemes and any unexpected/sporadic increases in competition; Also, slower-than-expected recovery in ad/content subsidiaries could pose downside risk for consolidated earnings.

Price Target Risks and Methodology - LG Uplus Corp.

Valuation methodology: We are Neutral rated on LG Uplus. Our P/E-based 12m TP is W17,000. Our target P/E multiple of 9x (applied to NTM) is derived from SKT's historical NTM P/E, which has been consistently trading around 9x throughout the 5G era.

Key risks: Upside risks include a faster-than-expected ramp-up in Data Center business, disruptive changes in market share trends, better-than-expected cost control leading to higher-than-expected operating leverage, and potential upside from non-telco initiatives for which we see limited visibility as of now. Downside risks include government pressure to provide lower 5G tariff schemes and any unexpected/sporadic increases in competition.

Price Target Risks and Methodology - SK Telecom

Valuation methodology: We are Sell rated on SKT. Our P/E-based 12m TP is W58,000. Our target P/E multiple of 9x (applied to NTM) is derived from SKT's historical NTM P/E, which has been consistently trading around 9x throughout the 5G era.

Key upside risks: Key upside risks include 1) sharper recovery in SKT's market share from new subscribers and mobile number portability; 2) reinstatement of dividends to level prior to data breach; 3) clarity on monetization trajectory of strategic divestments.

Disclosure Appendix

Reg AC

We, Eric Cha and Vona Lee, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Distribution of ratings/investment banking relationships

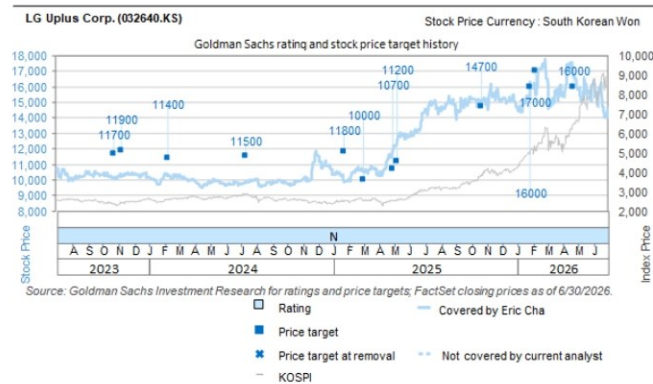
Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

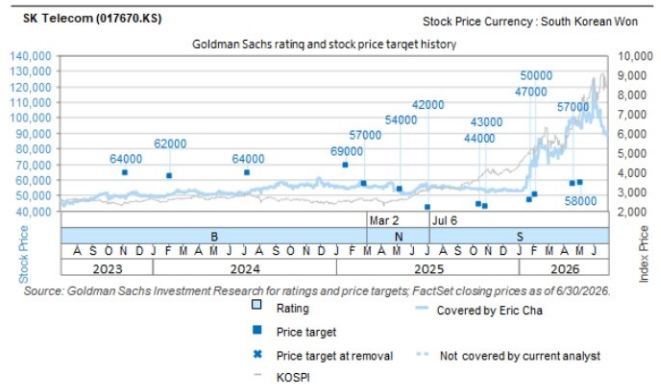
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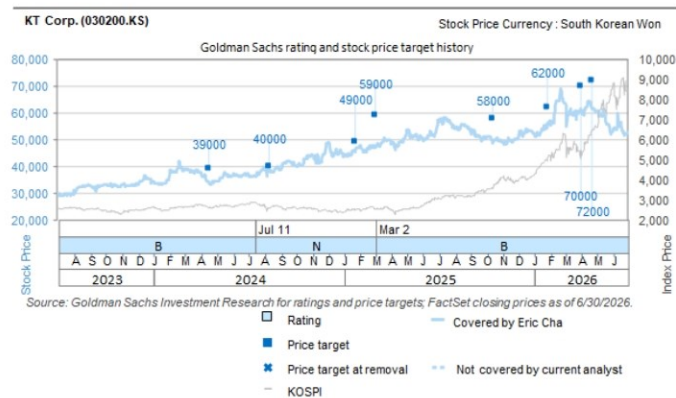
Price target and rating history chart(s)



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Target price history table(s)

KT Corp. (030200.KS)

Date of report	Target price (W)	Closing price (W)
22-Apr-26	72,000	61,800
31-Mar-26	70,000	60,400
26-Jan-26	62,000	54,400
14-Oct-25	58,000	48,600
02-Mar-25	59,000	47,000
23-Jan-25	49,000	45,650
11-Aug-24	40,000	38,100
16-Apr-24	39,000	34,250

SK Telecom (017670.KS)

Date of report	Target price (W)	Closing price (W)
07-May-26	58,000	93,200
22-Apr-26	57,000	100,300
07-Feb-26	50,000	69,200
26-Jan-26	47,000	61,800
30-Oct-25	43,000	52,700
16-Oct-25	44,000	54,800
06-Jul-25	42,000	54,400
12-May-25	54,000	52,200
02-Mar-25	57,000	56,000
23-Jan-25	69,000	54,900
11-Jul-24	64,000	52,300
05-Feb-24	62,000	50,400
08-Nov-23	64,000	48,400

LG Uplus Corp. (032640.KS)

Date of report	Target price (W)	Closing price (W)
22-Apr-26	16,000	16,730
05-Feb-26	17,000	15,680
26-Jan-26	16,000	15,190

Date of report	Target price (W)	Closing price (W)
21-Oct-25	14,700	14,940
08-May-25	11,200	12,490
29-Apr-25	10,700	11,960
02-Mar-25	10,000	10,580
23-Jan-25	11,800	9,870
11-Jul-24	11,500	9,900
07-Feb-24	11,400	10,360
07-Nov-23	11,900	10,180
23-Oct-23	11,700	10,110

Price targets shown in table(s) are unadjusted for corporate actions.

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